

THE AGE OF INSECURITY

Economic history

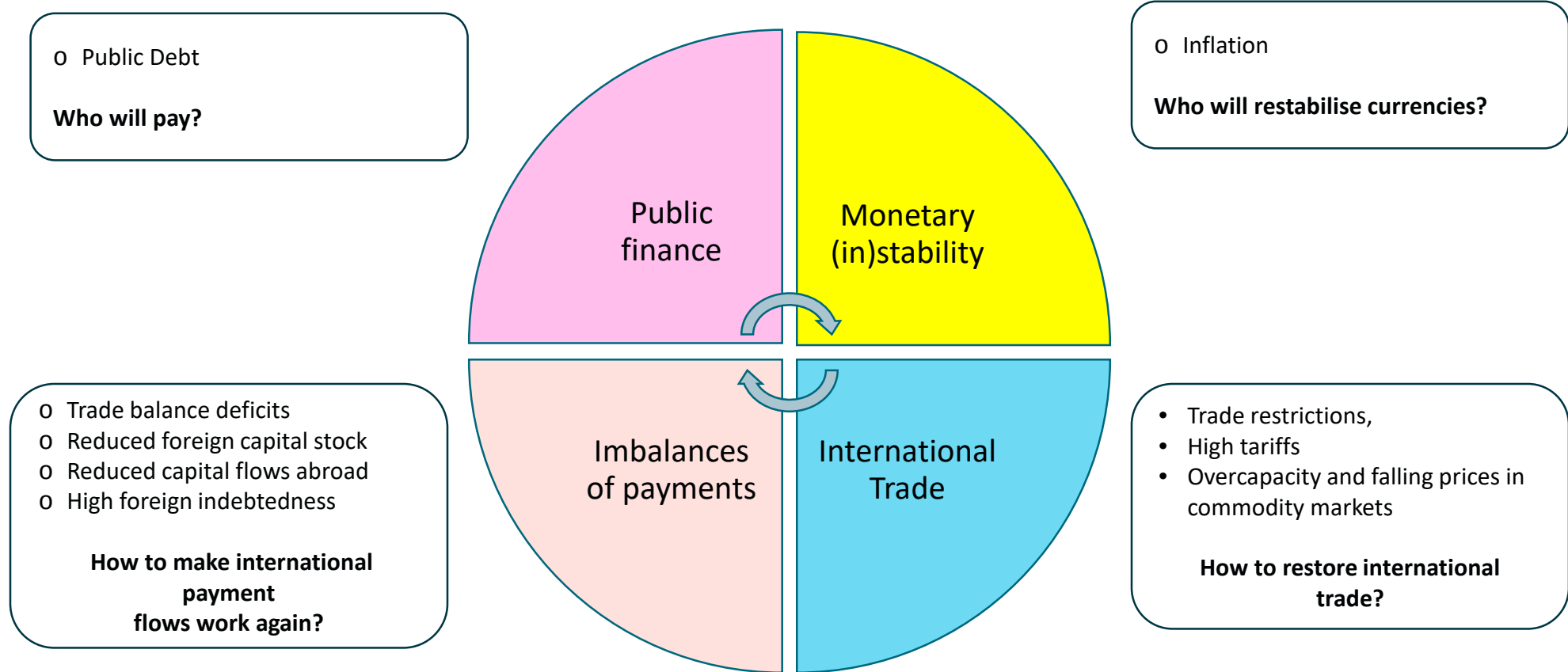
a.y. 2025/2026

Sonia Schifano

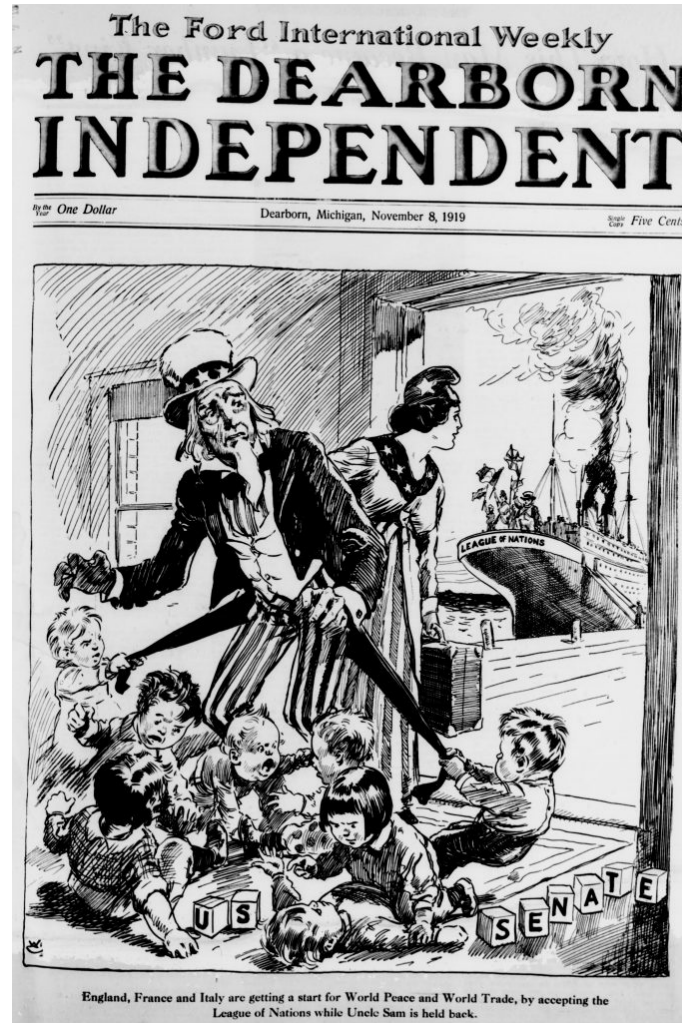
IN THIS CLASS

- Effort for cooperation
 - Finding a solution
- The Reconstruction of the Payment System
 - How the Gold Exchange standard works
 - Gold exchange standard yes, gold exchange standard no
 - France vs England
- The Roaring Twenties

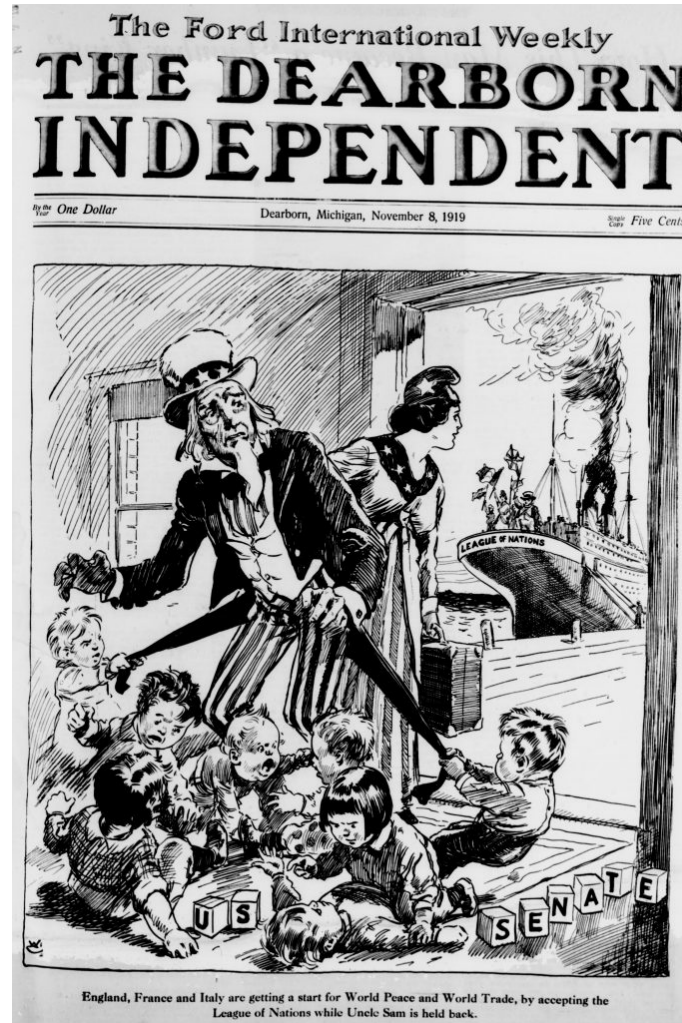
POST-WAR SCENARIO



THE LEAGUE OF NATIONS



THE LEAGUE OF NATIONS

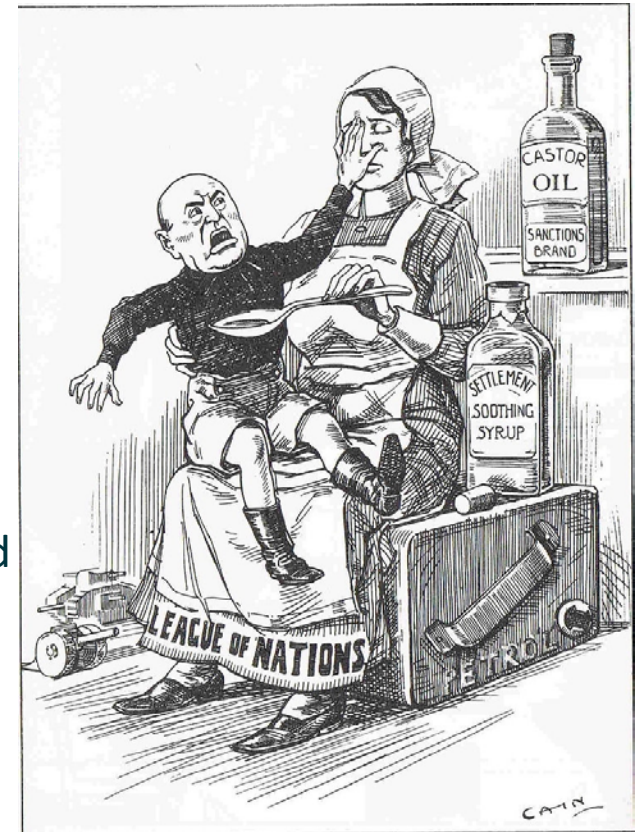


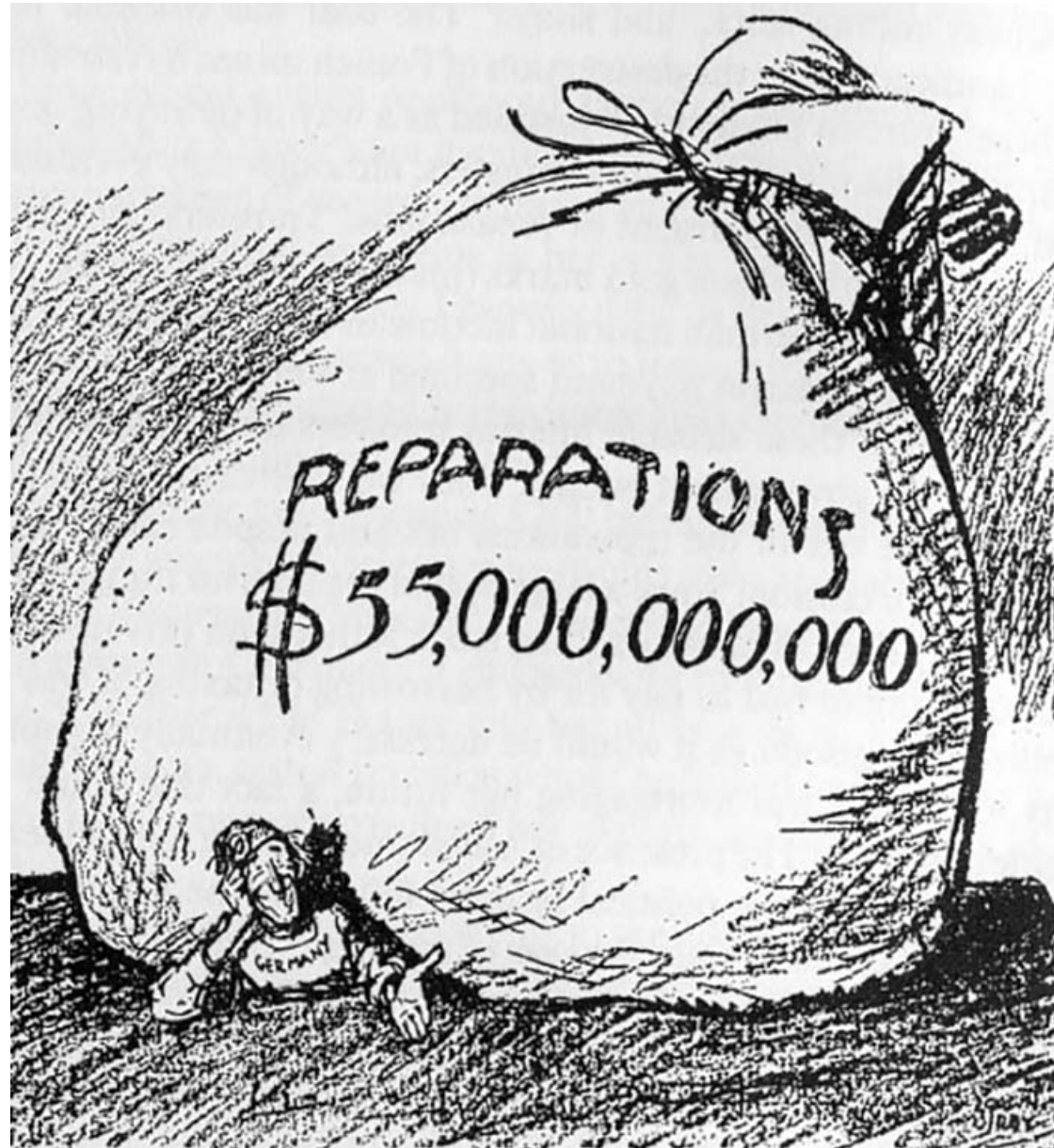
The United States never joined the League, significantly undermining its authority and power from the start.

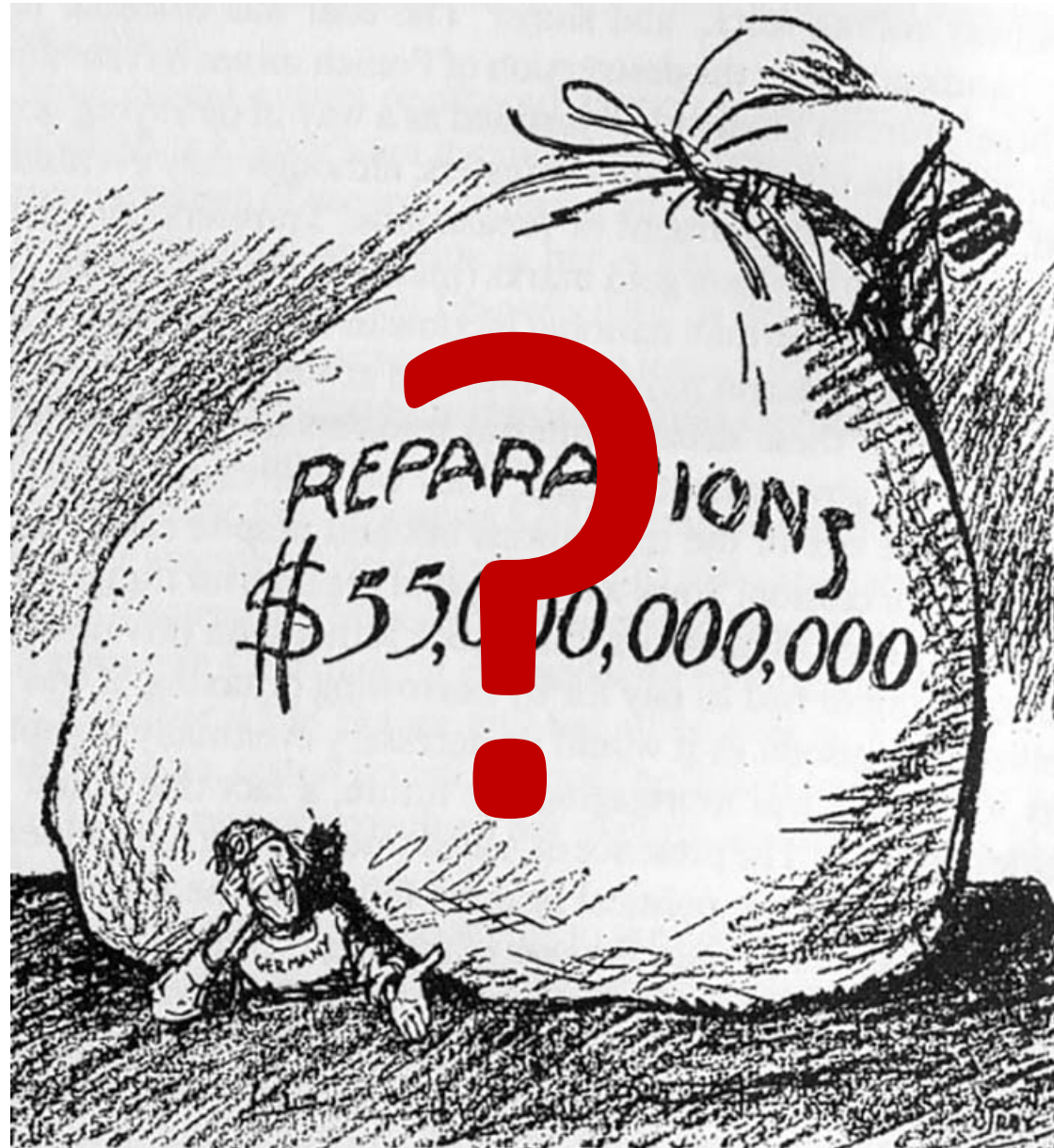
« NO MORE LONDON, NOT YET NEW YORK »

THE LEAGUE OF NATIONS

- The tools set up for maintaining peace were:
 - Moral condemnation: officially criticizing aggressor nations.
 - Economic sanctions: stopping trade with aggressor states.
 - Military sanctions: (A last resort) using collective military force, though it lacked its own standing army
- The League was powerless to stop major aggressions in the 1930s (e.g., German rearmament, Italian and Japanese expansion). The League was formally dissolved in 1946.
- Despite its failures, the League provided a crucial blueprint for international cooperation.
- Its structure and experience were used to create its successor: the United Nations (UN).







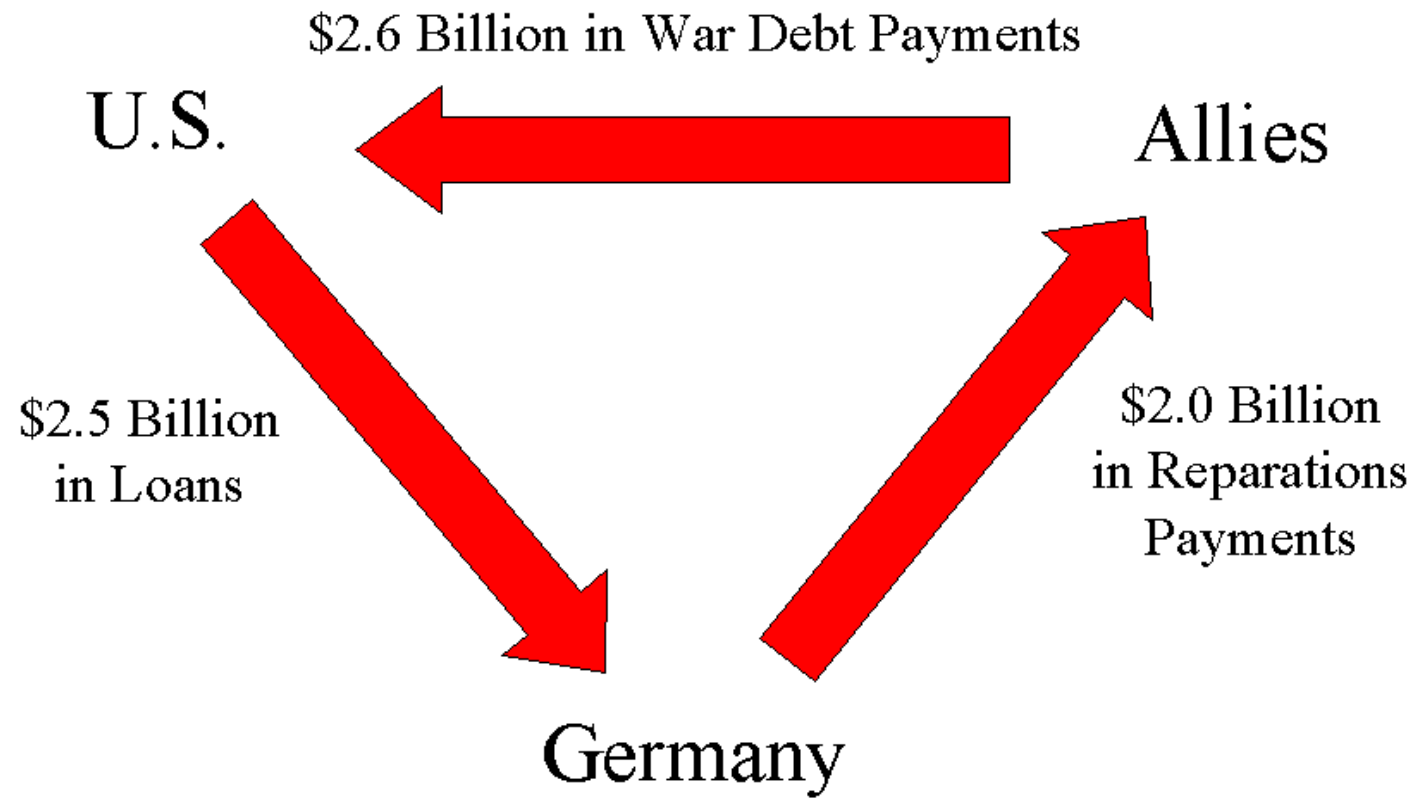
THE DAWES PLAN

The German inflation crisis induced the Allied powers to relax the conditions set at Versailles.

- from 55 to 33 billion US dollars

- In 1923 the French troops withdrew from the Ruhr and in 1924 an international commission launched the Dawes plan:
 - **redefine the terms of payment** of war reparations
 - linking them to the economic development of the country
 - **reorganise** the operations of the *Reichbank*
 - **set up a loan** in favour of Germany
- The American loan enabled Germany to resume payment of reparations and return to gold convertibility. Overall, the Dawes Plan enabled Germany to restart its economic reconstruction process

The International Financial System Under the Dawes Plan and Young Plan 1924-30

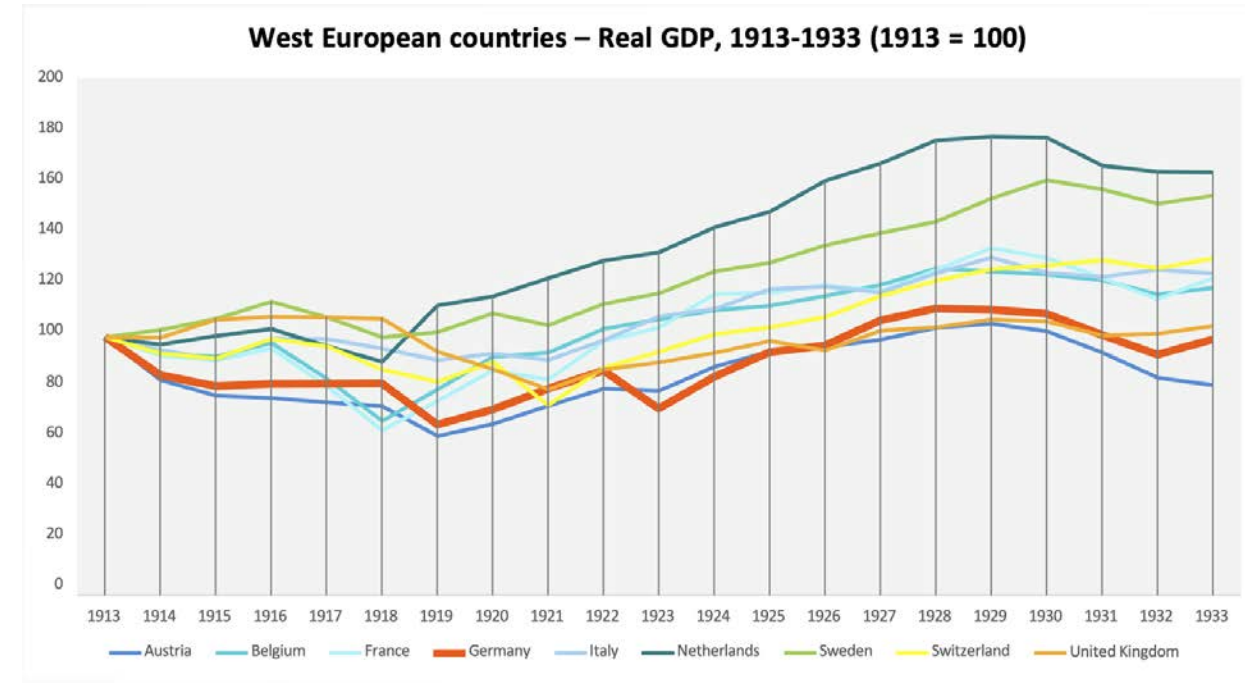


GERMAN RECOVERY

- Germany emerged from its difficulties
- Gradually all European countries were able to return to a **path of economic growth**

(even if, sometimes, a full economic recovery was never realised).

- Overall, the performance of the economy in 1924-1929 was positive but not brilliant.
- The recovery of the industrial sector took longer than in other countries.
- Weak consumer dynamics due to the effects of hyperinflation and unemployment.



HOW TO RESTORE INTERNATIONAL
MONETARY STABILITY?

THE GOLD «EXCHANGE» STANDARD

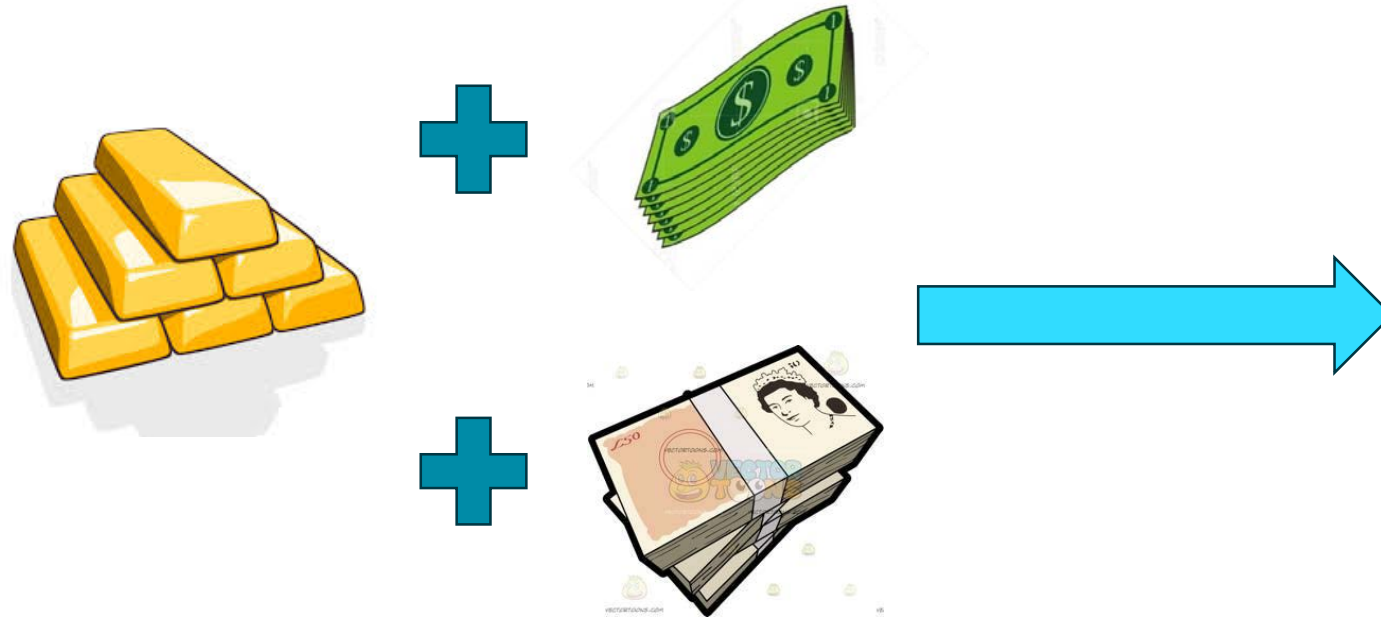
GENOA CONFERENCE



- During the Genoa Conference (1922) the governors of the central banks of the United States and Great Britain recommended the adoption of the gold exchange standard.
- The gold exchange standard would have allowed:
 - to save gold and strengthen central bank reserves by injecting convertible foreign currencies (dollar and sterling)
- Between 1922 and 1927 most Western countries (thanks to American loans) reached a degree of stabilization that allowed them to re-anchor their currencies to gold.
- The gold exchange standard provided the liquidity necessary for economic recovery but at the same time laid the foundations for 1929 crisis

HOW DOES IT WORK?

RESERVES: GOLD+DOLLARS+ POUNDS



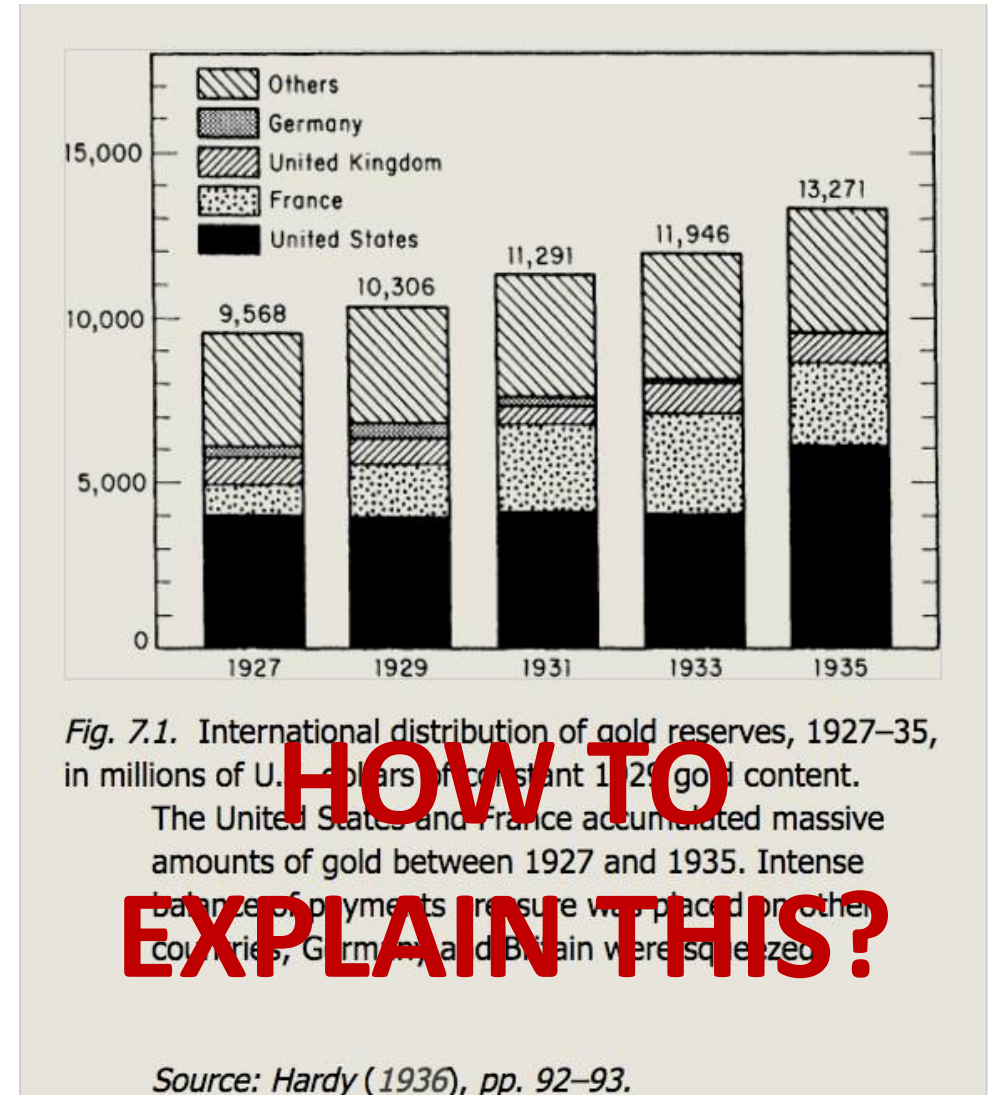
MONEY SUPPLY



WORKING AS THE GS PRE WWI

A WEAK SYSTEM

- **The distribution of gold reserves was sub-optimal** because the largest reserve holders were countries that cannot (France) or will not (USA) play an international role (→ regulate international liquidity).
- The **UK had difficulty acting as the central pivot of the system** as it had until 1914, while the USA refuses to assume responsibility.
- **Governments' commitment to gold parity was not very credible** → spread of universal suffrage makes governments accountable to larger and more heterogeneous electorates, more difficult to satisfy → markets speculate against weak currencies.
- **International cooperation was very scarce.**



POST-WAR MONETARY POLICY: WHAT TO DO?

GOVERNMENTS HAD TO DECIDE ABOUT THE PARITY BETWEEN GOLD AND NATIONAL CURRENCIES

Britain returned to the gold standard in 1925 with an exchange rate equal to the pre-1914 rate.

This led to a reduction in credit that led to:

- economic recession
 - miners' strike (1926) and rise in unemployment
 - reduction in exports, increase in imports, and a trade balance crisis due to overvalued currency
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- The overvalued pound left the field open to the dollar and the US.

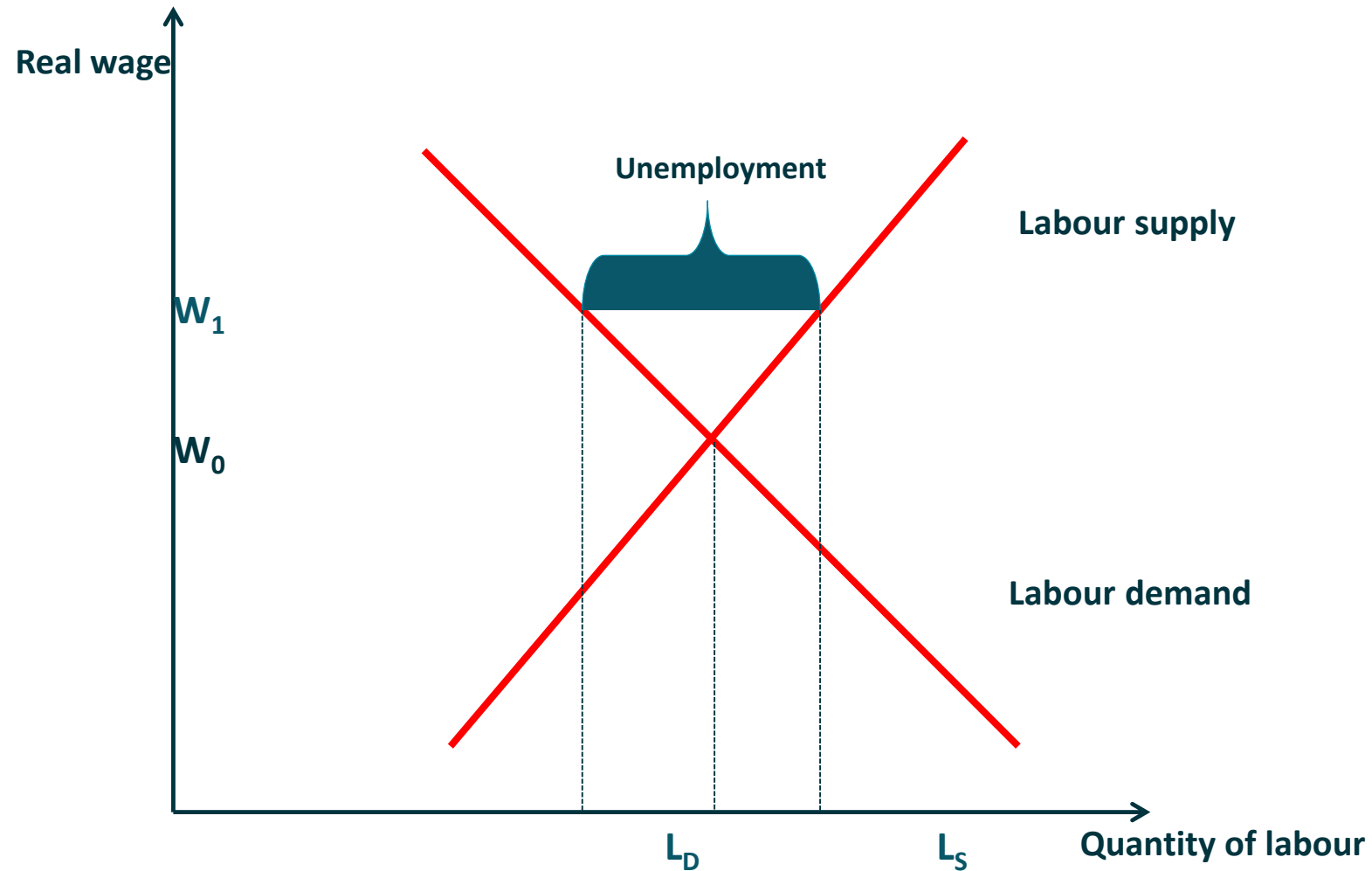
DO YOU REMEMBER UNEMPLOYMENT?

DO YOU REMEMBER UNEMPLOYMENT?

- In 1925, Britain returned to the Gold Standard at pre-war parity
 - Gold-Sterling exchange rate was not adjusted for wartime inflation
 - Sterling overvalued relative to gold
- International exchange rates
 - U.S. reinstated pre-war parity but after less wartime inflation
 - Other western nations returned to gold after devaluation
- **Keynes:**
 - Overvalued sterling raised production costs in foreign currency
 - British industry lost competitiveness ➔ rising imports + falling exports
 - Fall in aggregate demand ➔ fall in domestic prices (deflation)
 - Wages could not adjust enough to falling prices.

deflation ➔ increased real wages ➔ reduced demand for labour

THE KEYNESIAN INTERPRETATION



BRITISH WAGES

TABLE 4
Index of weekly wage rates by industry

	1920	1924 = 100 1925	1931
Coal mining	187	98.5	84
Iron and steel	202.5	99	91
Engineering	152	101	103
Shipbuilding	175	106	110
Cotton	162	100	94
Woollen and worsted	147.5	100	89.5
Printing	117	101	101
Furniture	134.5	101	99
Building	145.5	103	97
Gas	140	103	104
Railways	127.5	100.5	95

Source: Mitchell and Dean (1962) p. 351

POST-WAR MONETARY POLICY: WHAT TO DO?

- Instead, France decided to restore the gold standard with a parity lower than pre-war levels.
- The highly unstable French government wanted to avoid resorting the austerity policies necessary for stabilisation and therefore chose to go the devaluation route.
- The franc became convertible with gold at 20% of the pre-war parity
 - This stimulated exports.
- Capital flowed into France
 - Expectations of **revaluation** nurtured by financial operators
 - **Indirect taxes vs tax on property**

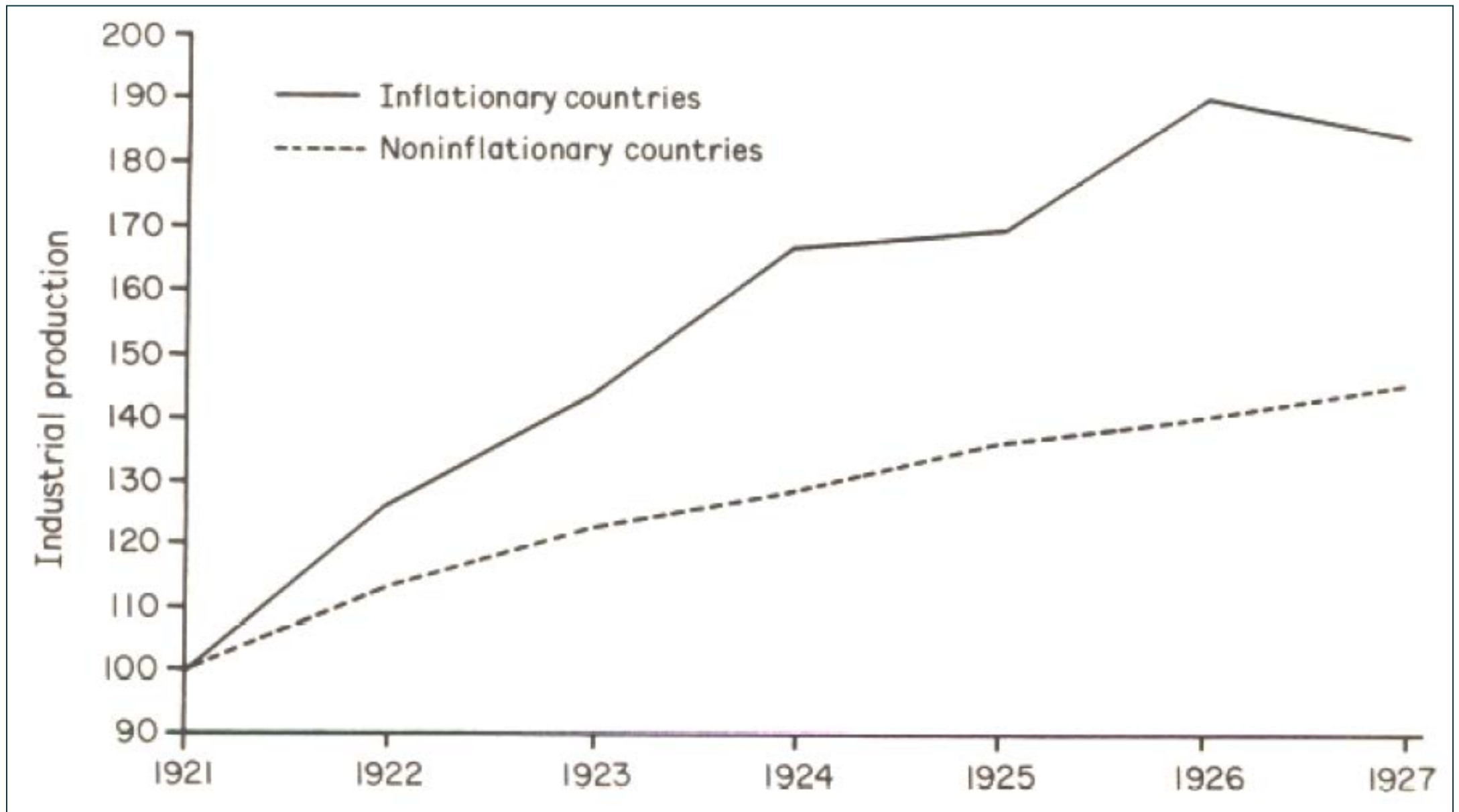


Figure 9: Industrial Production index (1910=100)

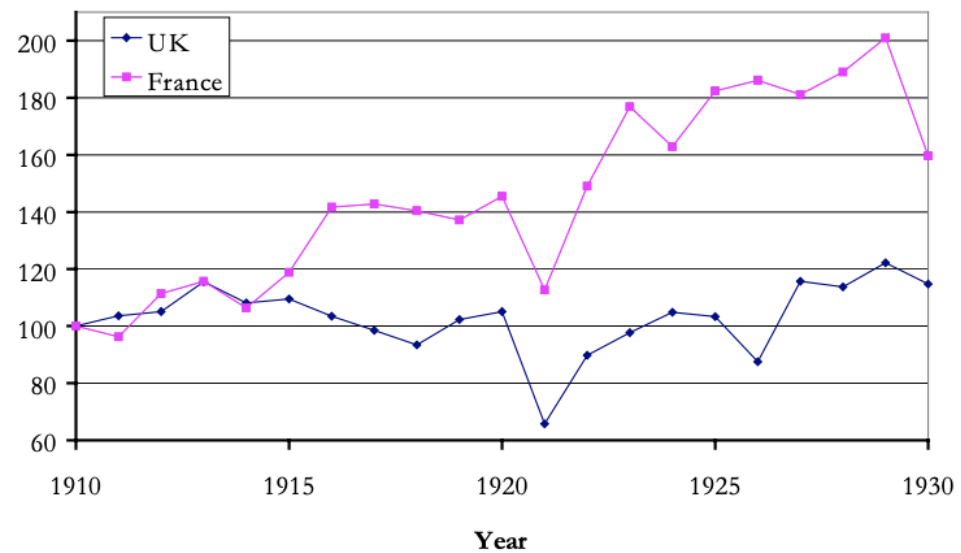
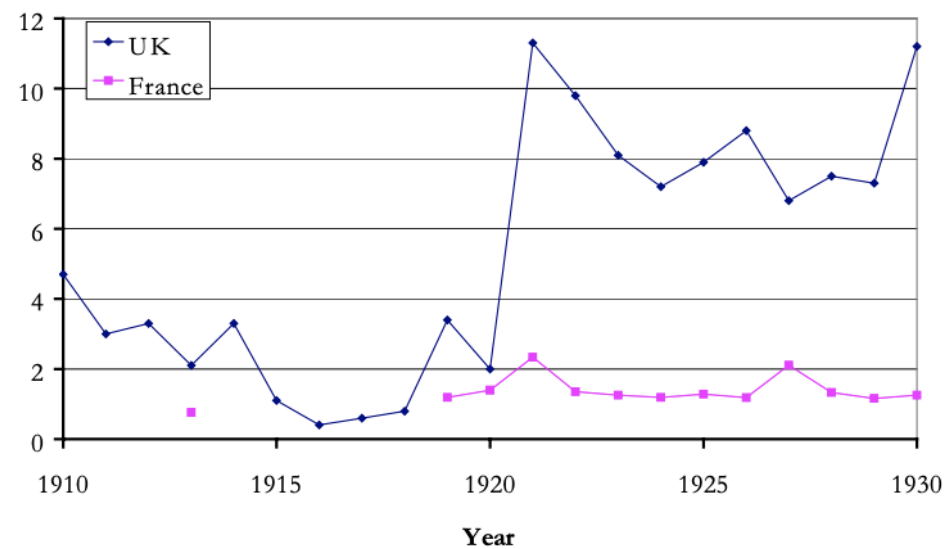


Figure 10: Unemployment rate (%)



THE ROARING TWENTIES

From 1925 onwards, Western national economies recovered but there were considerable differences between Europe and North America.

Between 1925 and 1928, European **industrial production increased by 20%**. The driving sectors were those of the **Second Industrial Revolution**, in particular electricity, automotive and chemical.

The US were even more favoured

- Their involvement in the war had been brief
- Their territory had not been devastated
- They had not gone into debt but had granted loans to Europe.

THE FLYING USA

Economic prosperity reverberated throughout the US and led to vigorous growth in the housing market and industry.

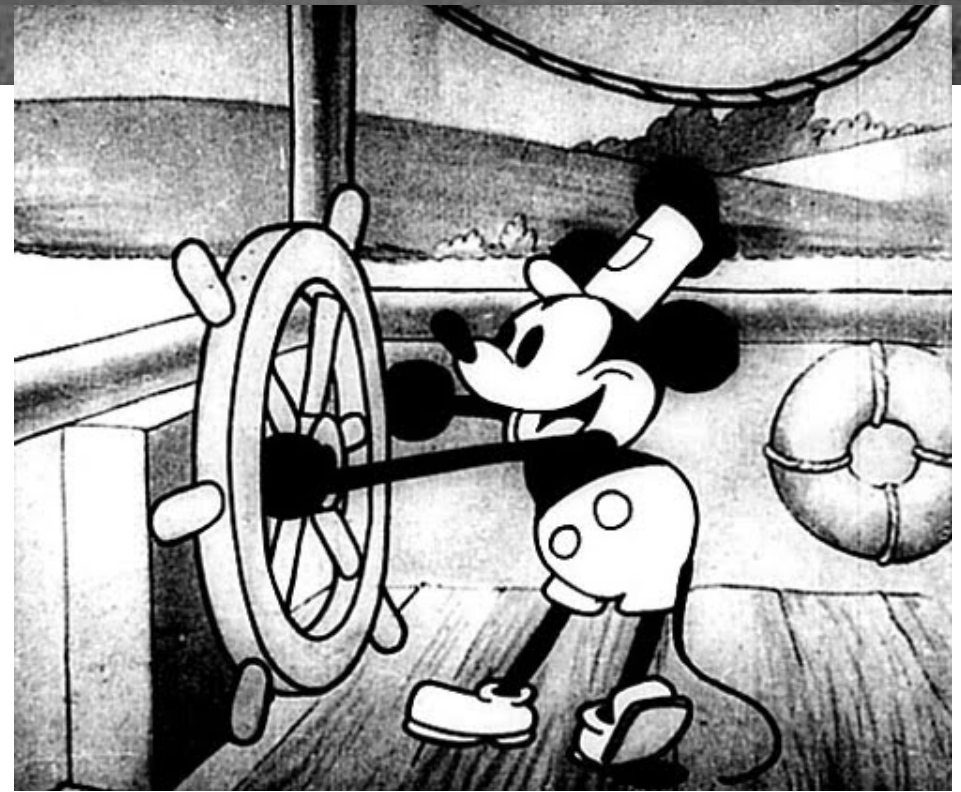
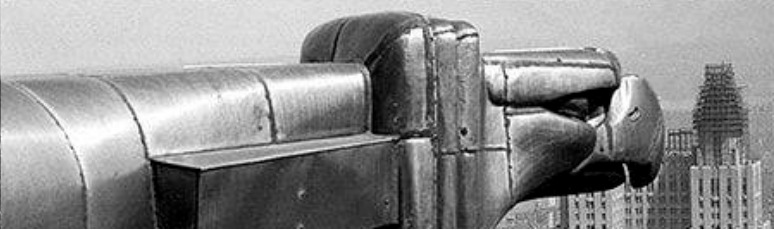
Wealth was also redistributed to American families, who were able to enjoy an unprecedented high material lifestyle: by the end of the 1920s, in the US there was

- One car for every 5 inhabitants, half of the population owned an iron
- 15% owned a washing machine, toaster and other household appliances

The standard of living of the Americans increased considerably and various forms of entertainment increased, from cinema, dancing, sports to music.







THE FLYING USA

- In Europe, the myth of the American way of life was created, which corresponded to a standard of living characterised by a series of comforts unthinkable for the average European citizen.



